

Price should approach, but not come that close to, the top trendline before heading back down and making an immediate downward breakout.

The chart also shows a similar situation that occurs earlier in the price pattern (shown on the chart as “Failed Partial Rise”), around the start of the year. Price has touched the two trendlines at least five times, so it looks like a valid and established ascending broadening wedge. Price rises in its attempt to touch the top trendline but fails. The trend heads down and forms a partial rise, right where you'd expect it to form: at the patterns' end (as of that date, anyway). If the partial rise worked, we should see an immediate downward breakout.



Figure 12.2 The broadening feature of the wedge is clear in this chart. The partial rise and failure to touch the upper trendline is a signal of an impending downward breakout.

Oops. It doesn't happen. Price bounces off the bottom trendline and zooms up to touch the upper trendline, forming the tallest peak in the pattern.

Why does a broadening wedge form, anyway? Pretend that you are the head of a mutual fund that has big bucks to spend and wants to buy shares in another company. When the price is low, you instruct your trading